

Scrolling Into Debt: How Social Media Influences the Spending Habits of Young People

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Proposal

Topic

What are the social media influences on young people's spending habits?

Introduction and Background

Young people spend hours every day on Instagram and TikTok, in an environment of ads that never look like ads. That exposure has a financial impact on people with tight budgets, because the dividing line between entertainment and marketing has long been obliterated, and spending is now normalized in ways most young people would never get to know.

I've experienced that pressure firsthand as someone who owns soccer jerseys. Club and brand accounts regularly post limited kit releases with countdown timers and captions like "only 50 left," and seeing an unboxing video from an account I follow makes me want to buy before a drop sells out, not because I need that jersey, but because the post makes it seem immediate. Very few of those purchases were planned. Most came from a scroll that turned to a checkout page in less than a minute, exactly what this project is trying to examine in the bigger picture.

Statement of the Problem

Most young people don't realize how aggressively they are being marketed to. Influencer content and algorithmic recommendations are embedded so seamlessly into everyday scrolling that many users never recognize them as persuasion. Platforms are systems built to surface whatever content is most likely to turn a viewer into a buyer, and young adults absorb that pressure the most. The result is impulse buying and, for some, real debt.

Research Questions

1. How does social media influence spending decisions in young people?
2. What kind of financial habits are formed by social media spending?

3. What has enabled young people to make smarter choices despite social media pressure?

Significance of the Study

This is more than my own jersey collection; it affects almost every category of spending young people encounter online. I am interested in where psychology and personal finance converge as a finance major because research on financial literacy tends to treat spending as an objective calculation while marketing research treats consumers as psychological targets, and little research has examined how to bridge the gap for young people in algorithmic feeds.

Preliminary Literature Review

Croes and Bartels (2021) interviewed 415 young adults ages 16 to 25 and found that social identification, the likelihood that a follower saw their personal identity reflected in an influencer, was the strongest predictor of buying behavior among six motivations based on uses and gratifications theory. Phua et al. (2017) developed the same results across four platforms and found that the effect varies by platform, with Twitter users showing the most brand-community identification and Instagram users showing the most engagement. Faverio and Anderson (2022) determined this by age: 72% of young people ages 18 to 29 years say they follow influencers; only 44% of users over 30 years old and 12% over 65 years old.

On the financial literacy side, Lusardi and Mitchell (2014) found that low financial literacy is associated with higher debt, poorer retirement savings, and higher susceptibility to expensive financial products. Lusardi et al. (2010) added to this with national survey data, showing that less than a third of young adults could correctly answer basic questions on interest rates, inflation, and risk, and a college-educated respondent with financially established parents was roughly 50 percentage points more likely to know risk diversification than a less educated

respondent from a less established household. The CFPB (2016) identifies which building blocks actually produce lasting capability.

Design and Methodology

This project draws on a literature review of peer-reviewed articles and credible institutional reports and combines what is already known in consumer psychology and financial literacy in general and rarely explored together. Three academic research studies establish the psychological and financial mechanisms that are at work, while two institutional reports provide population-level scale and recommendations.

Annotated Bibliography

Croes, E., & Bartels, J. (2021)

Croes and Bartels set out to understand why young people follow influencers and what impact that following has on their buying behavior. They surveyed 415 people aged 16 to 25 and identified six motivations for following an influencer, from information-seeking to entertainment. The key lesson was that none of those motivations predicted buying behavior directly; social identification, how well a follower sees their own values in the influencer, was what converted motivation into purchasing. This is parallel to my own jersey collection, as I am far more likely to buy a kit associated with a club whose identity I feel part of than a kit that I just find visually appealing. This source, published in *Computers in Human Behavior*, has answered the first research question and is the psychological basis that this bibliography is building on.

Phua, J., Jin, S. V., & Kim, J. (2017)

Phua, Jin, and Kim investigated the identification effect Croes and Bartels identified in isolation and asked whether that works for every platform. They found that it does not, when users from Facebook, Twitter, Instagram, and Snapchat are compared: Twitter users reported the highest brand-community identification, Instagram users the highest ongoing engagement, and Snapchat users were primarily using it for passing time. Social comparison moderated the effect, and it was stronger when the account felt like a close peer, not a distant celebrity. The jersey accounts I follow are almost exclusively on Instagram, the platform this study identifies as producing the highest sustained engagement. This source, published in *Telematics and Informatics*, pairs with Croes and Bartels (2021) to show that the pathway of spending is a function of the platform one uses.

Lusardi, A., & Mitchell, O. S. (2014)

Lusardi and Mitchell used decades of economic research to present financial knowledge as human capital and to prove that it pays off in better decision making across life. Their analysis showed poor financial literacy is associated with higher debt, worse retirement planning, and an elevated susceptibility to predatory products, and that financial education works far more effectively when delivered at real decision points than through generalized classroom lessons. No jersey release ever came with a moment of financial reflection built in; the checkout page appeared in seconds. Published in the *Journal of Economic Literature*, this source is central to the third research question.

Lusardi, A., Mitchell, O. S., & Curto, V. (2010)

Lusardi, Mitchell, and Curto used the 1997 National Longitudinal Survey of Youth to investigate financial literacy using three key questions on interest rates, inflation, and risk diversification. Only about one third of respondents answered all three correctly, and the gap was not evenly distributed: a college-educated respondent with well-resourced parents was about 50 percentage points more likely to know about risk diversification than a less-educated respondent from a less-resourced household. This suggests that the gap is structural, and that vulnerability to social media pressure can be understood as a result of unequal starting points rather than a personal failure. Published in the *Journal of Consumer Affairs*, this source shows the extent of the literacy gap among young people, just when social media exposure is at its highest.

Faverio, M., & Anderson, M. (2022)

Faverio and Anderson examined nationally representative Pew Research Center survey data of more than 6,000 American adults to find out how influential influencers are in the decision-making process. The most striking finding here is the age breakdown: 72% of social

media users age 18 to 29 say they follow influencers, compared with only 44% of users age 30 to 49 and just 12% of users aged 65 and older. Hispanic and Black social media users were also significantly more likely than White users to say influencers impact their purchases. Pew's rigorous methodology and sample make this source credible, and it supports Croes and Bartels (2021) and Phua et al. (2017) in showing that the process they describe theoretically is at work in the exact age group this project studies.

Consumer Financial Protection Bureau (2016)

The CFPB developed a research-based model identifying three interrelated building blocks of financial capability: executive function, which enables planning and impulse control; financial habits and norms, meaning behaviors learned from family; and financial knowledge and decision-making skills. These are not learned one by one; executive function developed in childhood sets the stage for the other two, and interventions work best in real-life financial situations, which is in line with what Lusardi and Mitchell (2014) call teachable moments. This is why just knowing that a sale is a marketing strategy is not enough; without the ability to stop and think before acting, that knowledge isn't enough to change behavior. The CFPB is the federal agency with overall authority over consumer finance, and this source moves the bibliography from diagnosis to solution.

Synthesis

Together, these six sources provide answers to the three research questions. Croes and Bartels (2021) and Phua et al. (2017) answer the first by identifying social identification, filtered through platform-specific dynamics, as the actual driver of spending, and Faverio and Anderson (2022) confirm that driver is strongest in young adulthood. Lusardi and Mitchell (2014) and Lusardi et al. (2010) answer the second by showing the financial habits young adults adopt on

these platforms are already thin, and unevenly so along family lines, which is why the identification effect turns into spending so easily. The CFPB (2016) addresses the third by finding the fix not in more information but in executive-function skills that are practiced at actual decision points, at the very moment a jersey drop is designed to compress into seconds. My own pattern of buying, scrolling, and only later learning how it happened is the small-scale version of what these sources describe at scale.

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